



Cambridge International AS & A Level

ECONOMICS

9708/13

Paper 1 AS Level Multiple Choice

May/June 2023

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.



Done.

This document has **12** pages. Any blank pages are indicated.

2

- 1 People plant flowers in a local park.

Which statement is correct?

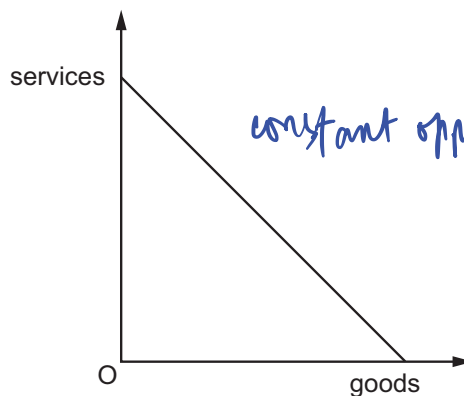
- A Flowers in parks are a public good because people can enjoy them at no charge. *Parks: capacity constraint*
- B Flowers in parks are a public good because they are owned by local people and are not for profit. *no*
- ✓ C Flowers in parks are not a public good if local people can limit the number of visitors to the parks. *yes* *Excludable*
- D Flowers in parks are not a public good if they are individual, not identical, in nature.

- 2 A government decides that all non-essential businesses must close for three months due to a disease pandemic.

What is an opportunity cost of this policy?

- A increased leisure time for employees *opportunity cost in terms of business is asked.*
- B lives that are saved due to reduced disease levels *(This is an impact of the decision)*
- C the production of goods by essential businesses
- ✓ D the loss of goods from the closed businesses *used stock is the opportunity cost.*

- 3 The diagram shows an economy's production possibility curve. The economy produces combinations of goods and services using all available resources. *linear (constant)*



What does the production possibility curve indicate for goods and services?

- ✓ A constant returns to scale in the production of both goods and services
- B diminishing returns to scale in the production of both goods and services
- C increasing returns to scale in the production of both goods and services
- D infinite returns to scale in the production of both goods and services

- 2 ↓, cost of borrowing ↓, I ↑
3
Able to spend more
- 4 Which economic conditions are likely to encourage an increase in enterprise?

	interest rates	profit tax	consumer confidence	unemployment
A	high	high	high ✓	high
B	high	low	low	high
C	low ✓	low ✓	high ✓	low ✓
D	low ✓	low ✓	low	low ✓

Income ↑
Spend ↑

low profit tax, more retained profits, I ↑

- 5 When is the price elasticity of demand for a product most likely to be price elastic?

- A A large percentage of income is spent on the product. correct, luxury
B It is measured in the short run.
C It is a necessity product. Endostic
D There are few substitutes available.

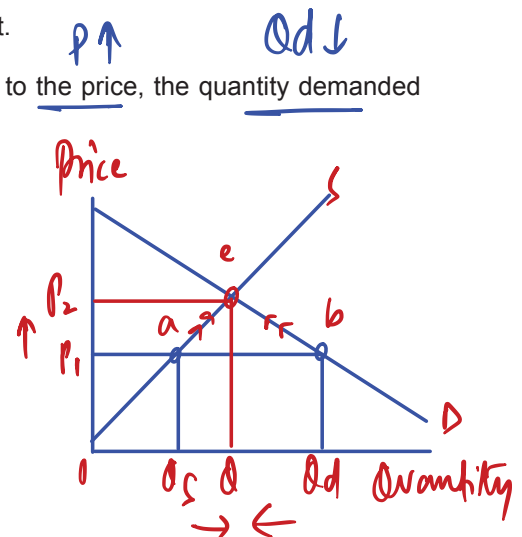
- 6 What is most likely to cause a shift in the supply curve for rice?

- A a change in the price of the rice Movement
B a change in the price of meat Demand factor, complements
C a change in the size of the rice industry firms enter/exit, supply shifts
D a change in tastes and preferences for rice Demand factor

- 7 A free market is in disequilibrium with a shortage of a product.

As the market moves towards equilibrium, what will happen to the price, the quantity demanded and the quantity supplied?

	price	quantity demanded	quantity supplied
A	decrease	decrease ✓	increase ✓
B	decrease	increase	decrease
C	increase ✓	decrease ✓	increase ✓
D	increase ✓	increase	decrease



4

8 What would **not** cause a shift in the demand curve for a good?

- A a change in the price of a complement *Pear ↑, Demand ↓ petrol*
 B a change in the price of a substitute *P coke ↑, Demand ↑ Pepsi*
 ✓ C a change in the price of the good itself *Movement along the curve*
 D a change in consumers' incomes *Income, other factor, Shift*

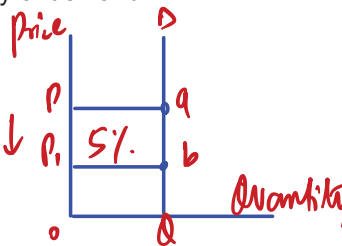
9 What does joint supply mean? ** Increase in demand of palm oil, increases supply of palm kernel cake.*

- A A firm can choose between producing a range of different goods.
 B A good has multiple uses.
 ✓ C A good is a by-product of the production process of another good. *e.g. palm oil and palm kernel cake*
 D Consumers consider two goods as complements. *Joint demand*

10 When the price of a firm's product falls by 5%, its total revenue also falls by 5%.

What describes the product's price elasticity of demand?

- A elastic *P ↓ TR ↑*
 B infinite *Price same*
 C unitary *TR/IE:- unchanged*
 ✓ D zero



P ↓ TR ↓
perfectly inelastic

11 The table shows how an individual's weekly consumption of biscuits and coffee varies with income.

YED: ∞ YED: -2

income (\$)	biscuits (packs)	coffee (cups)
100	0	5
150	5	10

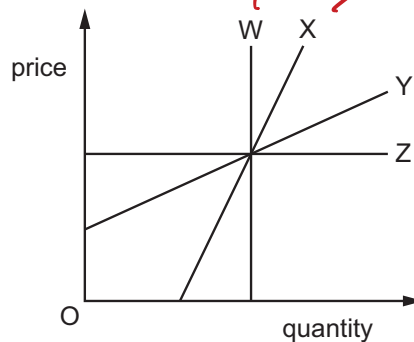
50% ∞ 100%

Which statement about the income elasticity of demand over the range of income shown is correct?

- ✓ A For biscuits it is greater than 1. *∞, is greater than 1*
 B For biscuits it is zero. *It's ∞*
 C For coffee it is less than 1. *greater than 1*
 D For coffee it is unitary. *greater than 1*

↓
= 1

- 12 The diagram shows four supply curves.



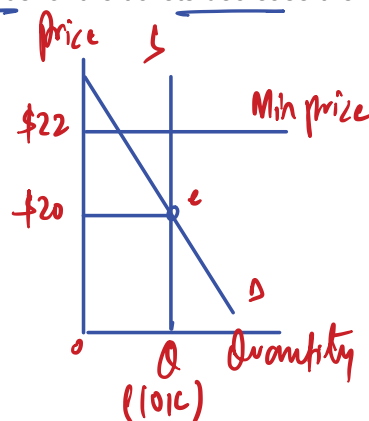
5
 → Perfectly inelastic supply ($PES = 0$)
 → Inelastic supply ($PES < 1$)
 → Elastic supply ($PES > 1$)
 → Perfectly elastic supply ($PES = \infty$)

Which statement about the price elasticity of these supply curves is correct?

- A W has elasticity of 0 that will rise as price rises. *Can't rise, it will be 0*
 B X has elasticity greater than 1 that will be constant as price rises. *less than 1*
 ✓ C Y has elasticity greater than 1 that will fall as price rises. *Correct, starts from y-axis*
 D Z has elasticity of 0 that is constant as quantity rises. *No, it's ∞.*
- 13 Product X has a price elasticity of supply (PES) of +2, whilst product Y has a PES of +0.2.
Elastic supply Inelastic supply
- Which statement about products X and Y is correct?
- A X has more substitutes than Y. *Its PES* *lesser contraction in 'Y'*
 B A 20% price fall would lead to a greater decrease in production of Y than of X.
 ✓ C After a price rise, it is more difficult to increase Y's output than X's. *Yes, because its inelastic supply*
 D After a price fall of 10%, more people would buy X than would buy Y.
↳ It's supply, not demand.
- 14 There are 10 000 tickets available to watch a sports final at a national stadium. The initial market equilibrium ticket price is \$20. The government decides to fix an effective minimum price for the tickets.

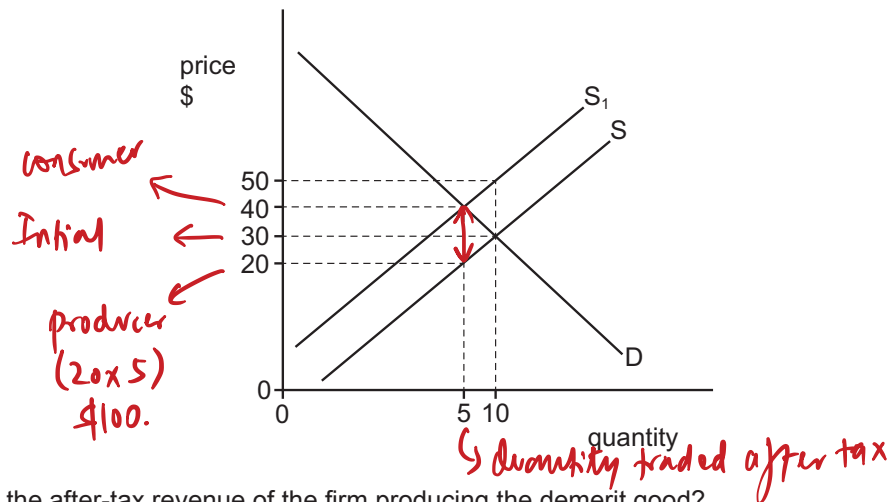
Under which conditions will the consumer surplus for the tickets decrease the most as a result of the minimum price?

	<i>Highest</i> minimum price level \$	<i>Inelastic</i> price elasticity of demand for tickets
A	18	-0.5 ✓
B	18	-1.5
✓ C	22 ✓	-0.5 ✓
D	22 ✓	-1.5



6

- 15 The diagram shows the impact of a government imposing a unit tax on a demerit good. S is the supply curve before the tax and S₁ is the supply curve after the tax.



What is the after-tax revenue of the firm producing the demerit good?

- ✓ **A** \$100 **B** \$200 **C** \$300 **D** \$500

- 16 A government has a policy aim of reducing income inequality. It considers three policies.

Which combination of policies would be most effective?

	<u>Yes</u> an increase in the marginal rate of tax from 40% to 50%	<u>Yes</u> an increase in the minimum wage	<u>No</u> a subsidy on battery-powered cars which cost over \$40 000
A	yes	no	no
✓ B	yes	yes	no
C	yes	no	yes
D	no	yes	no

Takes more
from Rich

affects lower
income households

→ Affects Rich
(Benefits Rich)

- 17 A Bangladeshi citizen is employed as a construction worker in Qatar. He sends some of his wages to his family in Bangladesh.

How will this be recorded on Qatar's balance of payments?

- A** as part of the balance of trade in services *Balance of trade*
 ✓ **B** as part of net primary income *(Net incomes) (inflows) (credit)*
C as part of net secondary income *(Net transfers)*
D as part of the financial account

↳ Investments i.e. FDI

$$\text{GDP deflator} = \frac{\text{Nominal GDP}}{\text{Real GDP}} \times 100$$

$$\text{Real GDP} = \frac{\text{Nominal GDP}}{\text{GDP deflator}}$$

7

- 18 The table gives data for an economy.

	2010	2011	2012	2013	2014
Gross Domestic Product (GDP) at current prices (\$ billion)	200	220	240	300	320
GDP deflator (price index)	100	109	125	149	154

In which year did real GDP decline compared with the previous year?

- A 2011 ☒ B 2012 C 2013 D 2014

- 19 Which policy is most likely to help to correct an adverse balance on the current account of the balance of payments?

- A abolishing tariffs *More imports, worsen*
☒ B depreciating the currency *X prices ↓, M prices ↑, Switching policy, BOT surplus*
 C reducing direct taxes *Spend ↑, C ↑, M ↑, worsen*
 D reducing indirect taxes *e.g. Tariffs, M ↑, worsen*

- 20 In year 1, a country's real GDP was \$500 billion. In year 2, nominal GDP rose to \$577.5 billion and the prices increased by 5%.

What is the real GDP in year 2?

- A \$4.76 billion B \$5 billion C \$476 billion ☒ D \$550 billion

$$\text{Real GDP} = \frac{\text{Nominal GDP}}{(1 + \text{price increase})}$$

$$\text{Real GDP} = \frac{577.5}{1.05} = 550$$

- 21 The table gives details of national income statistics for an economy.

	US\$bn
consumption	2000
investment	500
government expenditure	600
net exports	-100
net foreign factor income	-200
depreciation	100

$$2000 + 500 + 600 - 100 =$$

$$\text{GDP} = 3000$$

$$\text{GDP} + \text{net property income from abroad} = \text{GNP}$$

$$\text{GNP} = 3000 - 200 = 2800$$

What is the net national income for this economy?

- ☒ A US\$2700bn ☒ B US\$2800bn C US\$2900bn D US\$3000bn

National income - Depreciation

$$\text{GNP} - \text{Depreciation} = \text{Net national product (or NNI)}$$

$$2800 - 100 = 2700$$

Terms of trade
8

- 22 The table shows the relative price of exports compared with imports expressed as an index number for an economy (2013 = 100).

date	index
2013	100
2014	97
2015	95

Which statement about the period 2013–2015 is correct?

- A Export prices have increased each year. *Decreased, as TOT ↓*
 B The general level of prices has fallen. *Data is about TOT, not CPI/RPI*
 ✓ C The terms of trade have deteriorated. *X prices ↓, M prices ↑, TOT ↓*
 D The volume of imports increasingly exceeds the volume of exports.

↳ TOT is regarding relative prices

- 23 Country X and country Y each allocate half of their resources towards the manufacturing of shoes, and the other half towards the manufacturing of t-shirts. Resources can be used equally effectively in the production of both products in both countries.

The table shows the output of shoes and t-shirts produced by both countries using half their resources in each case, before specialisation.

Shoes ← X | 1 : 3
T-shirts ← Y | 1 : 4

50% 50%

country	shoes	t-shirts
X	8k 4000	12000
Y	2000	16k 8000
total	6000	20000

8k + 16k = 24k

X (T:S) 1:0.33
Y (S:T) 1:4

What can be concluded from the data?

- A The opportunity cost of country Y producing two shoes is four t-shirts. *1:4*
 B The opportunity cost of country X producing one t-shirt is four shoes. *1:0.33*
 ✓ C The total output of shoes and t-shirts after specialisation would be 24 000. *Correct*
 D The total output of shoes and t-shirts after specialisation would be 28 000. *It's 24k.*

- 24 Which government action is least likely to prevent a fall in economic growth?

- ✓ A additional controls on commercial banks' lending *less loans, less 'C' and 'I'*
 B relaxation of rules for immigration of adult population *more immigration, PPC shifts, growth*
 C removal of trade barriers on import of raw materials *cost ↓*
 D training and education of workforce *AS ↑*

↳ productivity ↑
 ↳ productive potential ↑
 Economic growth

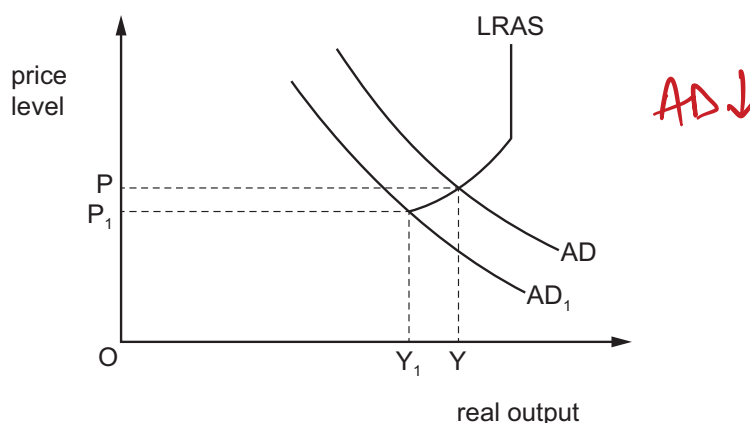
Real output ↑
 Economic growth

ADT 9

25 What is the most likely cause of an outward shift of a country's aggregate demand curve?

- A a decrease in the competitiveness of domestically produced products $X \downarrow, AD \downarrow$
 B a decrease in the general price level M^{movement}
 C a decrease in the money supply $L \uparrow, C \downarrow, I \downarrow, AD \downarrow$
 D a depreciation of the country's exchange rate $X \text{ prices } \downarrow, M \text{ prices } \uparrow, B \text{ of } \text{surplus}, AD \uparrow$

26 The diagram shows the macroeconomic equilibrium output and price level changing from Y and P to Y_1 and P_1 .



What could have caused this change?

- A a decrease in exports $X \downarrow, AD \downarrow$
 B a decrease in labour productivity $LRAS \text{ shifts}$
 C an increase in the government's spending $AD \uparrow$
 D an increase in the money supply $C \uparrow, I \uparrow, AD \uparrow$

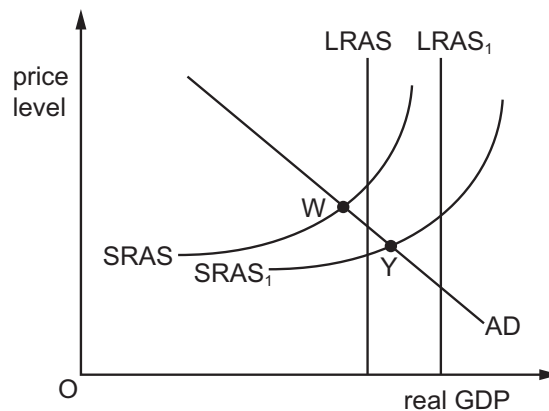
27 A country had a current account surplus of \$141bn.

Which policy may its government implement to reduce this surplus in the short run?

- A a decrease in direct taxes $C \uparrow, M \uparrow, \text{surplus } \downarrow$
 B a decrease in regulations to encourage more foreign firms to locate in this country $MNC's \uparrow, X \uparrow, \text{surplus } \uparrow$
 C an increase of import duties $\text{protectionism}, M \downarrow, \text{surplus } \uparrow$
 D an increase in interest rates
 ↳ Dampening policy. $L \uparrow, C \downarrow, M \downarrow, \text{surplus } \uparrow$

10

- 28 The diagram shows aggregate demand (AD) and aggregate supply in the short run (SRAS) and the long run (LRAS) and the long run (LRAS).



Which row is correct in causing a shift in the short run aggregate supply from SRAS to SRAS₁ and the long run aggregate supply from LRAS to LRAS₁?

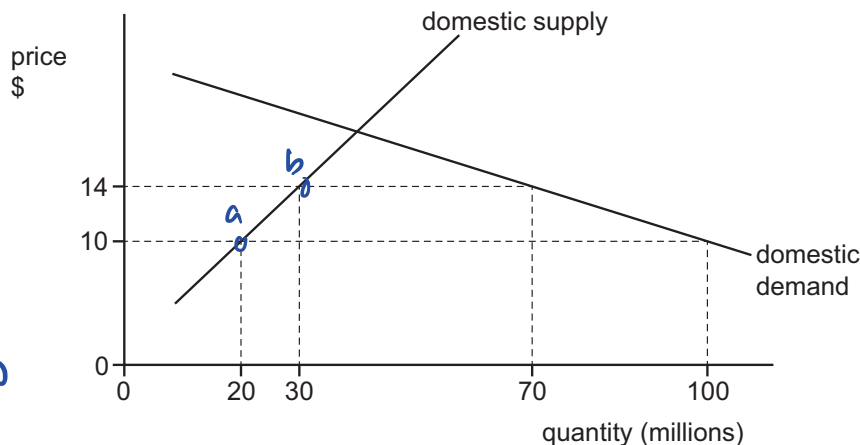
	shift from SRAS to SRAS ₁	shift from LRAS to LRAS ₁
A	change in AD from W to Y	increase in population
B	decrease in raw material costs	improvements in the education of workers
C	decrease in wage rates (SRAS ↑)	decrease in immigration
D	increase in availability of labour	increase in labour productivity

Productive Potential ↑

Wst ↓, SRAS ↑ → LRAS ↑ LRAS ↓ → LRAS ↑

- 29 The diagram shows that the imposition of a tariff raises a product's world price from \$10 to \$14.

Earlier:
 $10 \times 20 = 200$
 Now:-
 $14 \times 30 = 420$



By how much did domestic producers' income increase as a result of the tariff?

- A \$120 million B \$160 million C \$220 million D \$280 million

$$420 - 200 = 220$$

11

30 Which approach would a government be most likely to use to eliminate deflation?

A an increase in direct taxes $C \downarrow, I \downarrow, AD \downarrow$

B an increase in interest rates same as above

C a reduction in indirect taxes $AS \uparrow, P \downarrow$

✓ D a reduction in its budget surplus $G \uparrow, \text{Tax revenue} \downarrow, AD \uparrow$

↳ Expansionary fiscal.

or

Reflationary policy

Question	Answer	Marks
1	C	1
2	D	1
3	A	1
4	C	1
5	A	1
6	C	1
7	C	1
8	C	1
9	C	1
10	D	1
11	A	1
12	C	1
13	C	1
14	C	1
15	A	1
16	B	1
17	B	1
18	B	1
19	B	1
20	D	1
21	A	1
22	C	1
23	C	1
24	A	1
25	D	1
26	A	1
27	A	1
28	B	1

Question	Answer	Marks
29	C	1
30	D	1